June 28, 2024

Attn: Don Onwiler,
Executive Director
National Conference on Weights and Measures
9011 S 83rd Street
Lincoln, NE 68516
don.onwiler@ncwm.com

RE: Uniform Shipping Law Proposal – OTH 24.1

Dear Mr. Onwiler,

I am writing on behalf of the National Motor Freight Traffic Association, Inc. (NMFTA) to express the concerns of our member motor carriers regarding the Uniform Shipping Law, OTH 24.1, drafted by the New Hampshire Division of Weights and Measures, which is currently under review by the Laws and Regulations Committee of the National Conference on Weights and Measures (NCWM). OTH 24.1 would give states the authority to mandate standard procedures for carriers to incorporate into their weighing and research programs (known as W&R programs), and to impose penalties on carriers who fail to implement those procedures. The proposed law seems to be based upon the assumption that the imposition of fraudulent overcharges is a widespread problem in the trucking industry, even though evidence of any pattern or practice of such errors is lacking.

NMFTA is a nonprofit organization with a membership comprised of motor carriers that primarily specialize in the transportation of less-than-truckload (LTL) quantities of freight. LTL transportation involves the movement of shipments that do not require all the available space within an entire trailer. To move these smaller freight shipments, LTL carriers consolidate goods tendered by many shippers into a single trailer. The freight moved is typically brought to a terminal by local pickup and delivery drivers, where it may be inspected, weighed and measured before it is sorted and consolidated with other freight heading to the same destination. Accordingly, NMFTA's member carriers would be directly affected by OTH 24.1 if it is adopted in any states.

NMFTA's members move freight in interstate commerce throughout the United States and in foreign commerce between the United States and its neighbors, Canada and Mexico. Given the broad geographic scope of these operations, these LTL operations are largely regulated at the federal level: the role of states is rather limited. Indeed, any form of state regulation "related to a price, route, or service of any motor carrier…or…broker," is expressly preempted by 49 U.S.C. § 14501(c)(1). Further, states cannot legally adopt regulatory requirements that impose an "undue burden" on federally-regulated interstate commerce. A patchwork of unique state laws and regulations could easily cripple the supply chain, impeding and placing an undue burden on the interstate shipping process that would ultimately increase prices for both shippers and the ultimate

consumers. State and local restrictions imposed upon businesses during the COVID pandemic are a prime example of the havoc created when states take steps that even indirectly disrupt our interstate transportation system.

Nor is state regulation of W&R programs needed to correct any significant problem in the LTL trucking industry. The primary purpose of the carriers' W&R programs is to ensure that freight is accurately described on bills of lading, as is required by law, so the commodity classes can be correctly determined and the applicable pricing applied. Federal law, at 49 U.S.C. § 80113(a), requires carriers to issue bills of lading that not only identify the parties, origin, and destination of each shipment, but that correctly describe the freight, the number of packages, the gross weight of the shipment, and the measurements if such information is needed for classification purposes. If the freight is subject to the NMFTA's National Motor Freight Classification (NMFC), which most LTL freight is, then the description must track the item description in the NMFC, and include the weight and NMFC Class. *See* NMFC, Item 250100, Section 2(c).

The bills of lading provided by shippers often contain incomplete or inaccurate commodity descriptions, weights, and dimensions of the cargo. Sometimes one or more of these essential data points are missing entirely. Indeed, shippers tend to rely upon the carriers to provide legally compliant descriptions, weight and dimensions, because they lack the proper equipment, time, personnel, or other resources needed to collect the information on their own. Shippers focus on manufacturing and selling goods, then getting those goods out the door to customers, not on providing complete information as required by law. New Hampshire's proposal doesn't seem to take into account the shippers' reliance on the W&R programs to fill that gap.

Such reliance upon carriers is well-placed. These LTL carriers typically have scales on their forklifts that are calibrated to accurately weigh cargo, and many have dimensioners programmed to collect accurate measurements. The carriers also have inspectors on staff with specialized training that allows them to accurately describe freight consistent with the NMFC or other applicable tariffs. The carriers use all these resources in their W&R programs to achieve the goal sought by OTH 24.1, "to ensure the accurate shipment of goods."

Promoting accuracy through W&R programs enables LTL carriers to make best use of trailer space, minimize their carbon footprint, ensure compliance with mandatory state weight limits, and handle and stow the goods in a manner that results in their safe and secure transport as mandated by federal regulations. It also helps carriers explain to shippers how and why their shipment was classified and priced as it was. When shippers understand the factors that go into correct classification and pricing, they can better describe their freight and assess their future shipping costs more accurately. NMFTA is actively training and educating shippers on the NMFC, to help them become more active stewards of the logistics relationship.

Moreover, a shipper that believes carriers have made adjustments to bills of lading that resulted in unjustified charges has several potential courses of action for pursuing the matter. NMFTA has interpretations experts on the staff of its Freight Classification Development Council (FCDC) who are available to help the public by issuing opinions on classification-related issues. Such interpretations can be persuasive when shippers and carriers are working through differences

regarding the proper charges on particular shipments. When that doesn't work, shippers can bring their billing disputes to the Surface Transportation Board and/or to the court with jurisdiction over the particular matter. *See* 49 U.S.C. 13710(a)(3).

For all these reasons, we would ask the NCWM to reject OTH 24.1. Please let us know if we can provide any further information or assistance that might be of help in this endeavor.

Very truly yours,

Debbie Sparks, Executive Director
National Motor Freight Traffic Association, Inc.

Cc: Gene Robertson, NCWM Chairman
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